

**SUBSTITUTE FOR  
SENATE BILL NO. 898**

A bill to amend 1994 PA 451, entitled  
"Natural resources and environmental protection act,"  
by amending sections 19608a, 19608b, 19609, 19610, 19610a, 19611,  
19612, 19613, 20108b, and 21506a (MCL 324.19608a, 324.19608b,  
324.19609, 324.19610, 324.19610a, 324.19611, 324.19612, 324.19613,  
324.20108b, and 324.21506a), section 19608a as amended and section  
19608b as added by 2016 PA 473, sections 19609, 19610, 19611, and  
19612 as amended and section 19610a as added by 2016 PA 475,  
section 19613 as added by 1998 PA 288, section 20108b as amended by  
2016 PA 476, and section 21506a as amended by 2017 PA 134, and by  
adding part 192.

**THE PEOPLE OF THE STATE OF MICHIGAN ENACT:**

**PART 192**

1



RMH

S06647'26 (S-1)



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## BROWNFIELD REDEVELOPMENT

Sec. 19201. As used in this part:

(a) "Baseline environmental assessment" means that term as defined in sections 20101 and 21302.

(b) "Brownfield project" or "project" means the entire project to be undertaken, including, but not limited to, the actual site remediation and its resulting economic development.

(c) "Corrective action" means that term as defined in section 21302.

(d) "Department" means the department of environment, Great Lakes, and energy.

(e) "Due care activities" means those response activities conducted under sections 20107a and 21304c.

(f) "Eligible activities" includes any of the following for projects with funding allocated under the program:

(i) Baseline environmental assessment activities.

(ii) Investigations.

(iii) Due care activities.

(iv) Response activities.

(v) Removal and closure of underground storage tanks in accordance with parts 211 and 213.

(vi) Removal of universal waste, PCB-ballasts, transfers, capacitors, refrigerant gases, batteries, chemical, mercury switches, or other hazardous materials.

(vii) Industrial cleaning.

(viii) Removal and disposal of lake or river sediments that exceed part 201 cleanup criteria for unrestricted residential use from or related to an economic development project, if the upland property is a facility or would become a facility as the result of



1 disposition of dredged spoils.

2 (ix) The following activities, provided that the total cost of  
3 these activities does not exceed the total cost of project-related  
4 activities identified in subparagraphs (i) to (viii):

5 (A) Removal of uncontaminated surficial material and debris  
6 from the eligible property, provided it was not generated or  
7 accumulated by the applicant or the developer, including, but not  
8 limited to tires, furniture, building debris, appliances, abandoned  
9 vehicles, general refuse, and localized buried debris not  
10 associated with landfills or dumps.

11 (B) Demolition and lead, asbestos, or mold abatement that is  
12 not a response activity.

13 (g) "Eligible property" for projects with funding allocated  
14 under the program means property that is known or suspected to be a  
15 facility under part 201 or a site or property under part 213 and  
16 that was used or is currently being used for commercial,  
17 industrial, public, or residential purposes.

18 (h) "Facility" means that term as defined in section 20101.

19 (i) "Local unit of government" means a county, city, village,  
20 or township, or an agency of a county, city, village, or township;  
21 or a brownfield redevelopment authority, an economic development  
22 corporation, or an authority or other public body created by or in  
23 accordance with state law.

24 (j) "Measurable economic benefit" means the permanent jobs  
25 that are created or retained, the capital invested, the increased  
26 tax base, or other quantifiable benefits to the applicable county,  
27 city, village, or township where the project is located.

28 (k) "Measurable environmental benefit" means the extent that  
29 the requirements of part 201 or 213, or both, are advanced at a



1 brownfield project where environmental conditions inhibit the  
2 site's redevelopment or reuse.

3 (l) "Program" means the brownfield redevelopment grant and  
4 revolving loan program created under section 19205.

5 (m) "Response activity" means that term as defined in section  
6 20101 or corrective action as that term is defined in section  
7 21302, and includes, but is not limited to, activities that are  
8 more protective of the public health, safety, and welfare and the  
9 environment than required by section 20107a or 21304c.

10 Sec. 19203. The department shall expend money from the  
11 following funds, on appropriation, to provide grants and loans  
12 under the program:

13 (a) The clean Michigan initiative bond fund created in section  
14 19606.

15 (b) The revitalization revolving loan fund under section  
16 20108a.

17 (c) The state brownfield redevelopment fund created in section  
18 8a of the brownfield redevelopment financing act, 1996 PA 381, MCL  
19 125.2658a.

20 (d) Any other funding source, as appropriate.

21 Sec. 19205. (1) The department shall create a brownfield  
22 redevelopment grant and revolving loan program for the purpose of  
23 making grants and loans to local units of government for eligible  
24 activities at eligible properties with redevelopment potential.

25 (2) The department shall not issue a grant or loan under the  
26 program unless all of the following conditions are met:

27 (a) The applicant is a local unit of government.

28 (b) The applicant demonstrates to the department the  
29 capability to administer and manage the grant or loan.



1 (c) The applicant demonstrates to the department that there is  
2 an identifiable source of funds for the future maintenance and  
3 operation of the activities funded with money from the program, if  
4 appropriate.

5 (d) Within the last 24 months, the applicant has successfully  
6 undergone an audit conducted in accordance with generally accepted  
7 auditing standards or an emergency manager has been appointed for  
8 the applicant under the local financial stability and choice act,  
9 2012 PA 436, MCL 141.1541 to 141.1575.

10 (e) Within the last 24 months, the department has not revoked  
11 or terminated a grant to the applicant and the department has not  
12 determined that the applicant demonstrated an inability to manage a  
13 grant.

14 (f) The applicant is not responsible for causing a release or  
15 threat of release under part 201 or part 213 at the site proposed  
16 for grant or loan funding, except as provided in section 19208(4).

17 Sec. 19207. Grants and loans issued under the program must  
18 meet all of the following conditions:

19 (a) Except as provided in subdivision (b), a recipient is not  
20 eligible to receive more than the following:

21 (i) One grant per project, not to exceed \$2,000,000.00 per  
22 grant.

23 (ii) One loan per project, not to exceed \$2,000,000.00 per  
24 loan.

25 (b) Brownfield projects that have significant economic and  
26 environmental benefit may be considered for more than 1 grant or  
27 loan in separate fiscal years, provided that the loan or grant  
28 agreement includes project-specific benchmarks for eligible  
29 activities and failure to satisfy a benchmark would terminate the



1 project's eligibility for additional grant or loan funding, as  
2 applicable.

3 (c) The department may award a grant only if the department  
4 determines that all of the following apply:

5 (i) The property is an eligible property.

6 (ii) The proposed development of the property is expected to  
7 result in measurable economic benefit in excess of the grant amount  
8 requested by the applicant.

9 (iii) The proposed project is in, or will result in, compliance  
10 with all applicable state laws and rules.

11 (d) The department may award a loan only if the department  
12 determines that all of the following apply:

13 (i) The property is known or suspected to be an eligible  
14 property.

15 (ii) The property has economic development potential based on  
16 the applicant's planned use of the property.

17 (iii) The proposed project is in, or will result in, compliance  
18 with all applicable state laws and rules.

19 Sec. 19208. (1) A grant or loan may be used to fund due care  
20 and assessment activities necessary to facilitate redevelopment if  
21 the party responsible for an activity causing a release is not the  
22 owner or operator of the proposed redevelopment.

23 (2) A loan may be used to fund response activities if both of  
24 the following are met, as applicable:

25 (a) A party responsible for an activity causing a release is  
26 not the seller and is not or will not be the owner or operator of  
27 the property to receive funding.

28 (b) The recipient of the funding can show that response  
29 activities are appropriate in relation to the redevelopment.



1 (3) A grant may be used to fund response activities if all of  
2 the conditions under subsection (4) are met, and the department  
3 determines that the response activities are in the public interest.

4 (4) A loan may be used to fund appropriate response activities  
5 related to redevelopment and due care activities necessary to  
6 facilitate redevelopment of the property if the party responsible  
7 for an activity causing a release at the eligible property meets  
8 both of the following:

9 (a) Is a local unit of government.

10 (b) Has a proposed redevelopment for the property with  
11 measurable economic benefit.

12 Sec. 19209. (1) An application for a grant or loan from the  
13 program must be made on a form and in a manner prescribed by the  
14 department. The department may require the applicant to provide any  
15 information reasonably necessary to allow the department to make a  
16 determination required by this part.

17 (2) The department shall accept, and consider for approval,  
18 applications for grants and loans throughout the year. The  
19 department shall make final application decisions not later than 90  
20 days after receipt of a complete application. A complete  
21 application must include all of the following:

22 (a) The location of the property.

23 (b) The current use and ownership of the property.

24 (c) The relevant history and the past use and ownership of the  
25 property.

26 (d) The environmental condition of the property.

27 (e) A description of the proposed eligible activities and the  
28 reasons the activities are necessary.

29 (f) An itemized budget for the proposed eligible activities.



1 (g) A schedule for the completion of the proposed eligible  
2 activities.

3 (h) A description of the proposed project and measurable  
4 economic benefit.

5 (i) If the property is not owned by the applicant, a draft of  
6 an enforceable agreement between the property owner and the  
7 applicant that commits the property owner to cooperate with the  
8 applicant, including a commitment to allow access to the property  
9 to complete, at a minimum, the proposed eligible activities.

10 (j) For loans, a resolution from the governing body of the  
11 applicant committing to repayment of the loan. If the applicant is  
12 a sub-unit of a local unit of government, the resolution required  
13 under this subdivision must be from the county, city, village, or  
14 township under which the sub-unit was formed.

15 (k) A letter or resolution from the city, township, or village  
16 where the project will be developed that demonstrates support for  
17 the brownfield project and that the brownfield project complies  
18 with all local zoning and planning ordinances.

19 (l) Any other relevant information the department requires.

20 (3) The department shall review a completed application using  
21 the following considerations:

22 (a) Whether the proposed project is authorized by this part.

23 (b) Whether the proposed project is consistent with the local  
24 planning and zoning for the area in which the proposed project is  
25 located.

26 (c) Whether the proposed project provides measurable  
27 environmental benefit.

28 (d) Whether the proposed project provides a measurable  
29 economic benefit.



1 (e) Whether the proposed project will significantly contribute  
2 to the local unit of government's economic and community  
3 redevelopment or the revitalization of adjacent neighborhoods.

4 (f) The viability and schedule of the proposed redevelopment.

5 (g) The level of public and private commitment and other  
6 resources available for the proposed project.

7 (h) How the proposed project relates to a broader economic and  
8 community development plan for the local unit of government.

9 (i) Whether the proposed project is likely to be undertaken  
10 without assistance from this state.

11 (j) Other criteria that the department considers relevant.

12 Sec. 19211. (1) To receive grant or loan funds, approved  
13 applicants must enter into a grant or loan agreement with the  
14 department. At a minimum, the grant or loan agreement must contain  
15 all of the following:

16 (a) The eligible activities to be undertaken with grant or  
17 loan funds.

18 (b) The budget for utilizing the grant or loan funds.

19 (c) An implementation schedule for the eligible activities.

20 (d) Reporting requirements, including, at a minimum, the  
21 following:

22 (i) The grant or loan recipient shall submit progress status  
23 reports to the department on a form and in a manner prescribed, and  
24 at a frequency determined, by the department.

25 (ii) The grant or loan recipient shall provide a final report  
26 after completing the grant- or loan-funded activities within a time  
27 frame determined by the department.

28 (e) Other provisions as considered appropriate by the  
29 department.



1 (2) If the property is not owned by the grant or loan  
2 recipient, an executed access agreement that meets the requirements  
3 of section 19209(2) (i) must be provided before the approval of a  
4 work plan.

5 (3) Unless otherwise approved by the director of the  
6 department, only activities carried out and costs incurred after  
7 execution of a grant or loan agreement are eligible.

8 (4) A grant or loan recipient shall prepare and submit to the  
9 department for approval a work plan that is consistent with the  
10 grant or loan agreement. A work plan must identify the eligible  
11 activities and provide details on how the eligible activities will  
12 be implemented. All eligible activities must be consistent with an  
13 approved grant or loan work plan.

14 (5) Grant funds must be disbursed on a reimbursement basis on  
15 receipt of appropriate documentation. Loan funds must be disbursed  
16 in draws based on an approved work plan, and supporting  
17 documentation must be submitted after expenses are incurred.

18 (6) The department shall specify documentation requirements  
19 for grants and loans on a form prescribed for requesting  
20 reimbursement or draws.

21 Sec. 19213. Before making a grant or loan under the program,  
22 the department shall consider the extent to which the making of the  
23 grant or loan contributes to the achievement of a balanced  
24 distribution of grants and loans throughout this state.

25 Sec. 19215. (1) A recipient of a grant or loan granted or  
26 issued under the program shall do both of the following:

27 (a) Keep an accounting of the money spent on the project or  
28 facility in a generally accepted manner. An accounting under this  
29 subdivision is subject to a postaudit.



1 (b) Obtain authorization from the department before  
2 implementing a change that significantly alters the proposed  
3 project.

4 (2) The department may revoke a grant or loan granted or  
5 issued under the program or withhold payment if the proposed  
6 project changes, is delayed, or is not implemented, or if the  
7 recipient fails to comply with the terms and conditions of the  
8 grant or loan agreement or with the requirements of this part or  
9 the rules promulgated under this part, or with other applicable law  
10 or rules. If a grant or loan is revoked, the department may recover  
11 all funds awarded.

12 (3) To ensure timely completion of a project and receipt of  
13 all project deliverables, which are defined in the work plan and  
14 require documentation and reporting, the department may withhold up  
15 to 10% of the grant or loan amount until the project is completed.

16 (4) If an approved applicant fails to sign a grant or loan  
17 agreement within 90 days after receipt of a written grant or loan  
18 offer by the department, the department may cancel the grant or  
19 loan offer. The applicant may not appeal or contest a cancellation  
20 under this subsection.

21 (5) The department may terminate a grant or loan agreement and  
22 require immediate repayment of the grant or loan if the recipient  
23 uses grant or loan funds for any purpose other than for the  
24 approved activities specified in the grant or loan agreement. The  
25 department shall provide the recipient written notice of the  
26 termination 30 days before the termination.

27 Sec. 19217. (1) A loan issued under the program must be made  
28 on the following terms:

29 (a) A loan interest rate of not more than 50% of the prime



1 rate as determined by the department as of the date of approval of  
2 the loan.

3 (b) Loan recipients shall repay loans in equal annual  
4 installments of principal and interest beginning not later than 5  
5 years after the first draw of the loan and concluding not later  
6 than 15 years after the first draw of the loan.

7 (2) On request of a loan recipient and a showing of financial  
8 hardship related to the project that was financed in whole or in  
9 part by the loan, the department may renegotiate the terms of any  
10 outstanding loan, including the length of the loan, interest rate,  
11 and repayment terms. The department shall not reduce or eliminate  
12 the amount of the outstanding loan principal. The department shall  
13 report to the legislature the number of loans refinanced under this  
14 subsection, the local unit of government or authority responsible  
15 for each loan refinanced, and the change in the terms of the loan,  
16 as appropriate. This information may be included in the report  
17 prepared by the department under section 19220.

18 (3) Repayments of principal and interest must be deposited in  
19 1 of the following funds based on programmatic need:

20 (a) The clean Michigan initiative bond fund created in section  
21 19606.

22 (b) The revitalization revolving loan fund under section  
23 20108a.

24 (c) The state brownfield redevelopment fund created in section  
25 8a of the brownfield redevelopment financing act, 1996 PA 381, MCL  
26 125.2658a.

27 Sec. 19219. The department and the department of attorney  
28 general may recover costs expended under this part for corrective  
29 actions, response activities, and all other recoverable costs under



1 part 201 or 213 from the parties that are responsible for an  
 2 activity causing a release under part 201 or 213. Actions to  
 3 recover costs must be conducted in the manner provided for in part  
 4 201 or 213.

5 Sec. 19220. Not later than December 31, 2026 and by December  
 6 31 each year thereafter, the department shall submit a list of the  
 7 projects financed under this part during the previous fiscal year  
 8 to the governor, the standing committees of the house of  
 9 representatives and the senate that primarily address issues  
 10 pertaining to the protection of natural resources and the  
 11 environment, and the subcommittees of the house of representatives  
 12 and the senate on natural resources and environment, Great Lakes,  
 13 and energy. The list must include the following information:

- 14 (a) The name and location of the project.
- 15 (b) The nature of the project.
- 16 (c) The amount of money allocated to the project.
- 17 (d) The county in which the project is located.
- 18 (e) Other information considered relevant by the department.

19 Sec. 19221. (1) The governor may include in the governor's  
 20 annual budget recommendations to the legislature the level of  
 21 funding necessary to implement this part.

22 (2) Money required to implement the programs described under  
 23 this part may be appropriated from any source the legislature  
 24 considers necessary to implement the requirements of this part.

25 Sec. 19223. The department may promulgate rules in accordance  
 26 with the administrative procedures act of 1969, 1969 PA 306, MCL  
 27 24.201 to 24.328, to implement this part.

28 Sec. 19608a. (1) The department shall create a clean Michigan  
 29 initiative grant and revolving loan program for the purpose of



1 making grants and loans to local units of government under section  
2 19608(1)(a)(iv) for eligible activities at eligible properties with  
3 redevelopment potential.

4 (2) Grants provided under the clean Michigan initiative grant  
5 and revolving loan program that are used solely to determine  
6 whether a property is a site or a facility and, if so, to  
7 characterize the nature and extent of the contamination by means of  
8 an assessment or investigation ~~shall~~**must** be issued only if all of  
9 the following conditions are met:

10 (a) The characterization of the nature and extent of  
11 contamination includes an estimate of response activity costs in  
12 relation to the value of the property in an uncontaminated state  
13 and identifies future potential limitations on the use of the  
14 property based ~~upon~~**on** current environmental conditions.

15 (b) The property has demonstrable economic development  
16 potential. This subdivision does not require a specific development  
17 proposal to be identified.

18 (3) The department shall not make a grant or a loan under the  
19 clean Michigan initiative grant and revolving loan program unless  
20 all of the following conditions are met:

21 (a) The applicant demonstrates that the proposed project is  
22 in, or will result in, compliance with all applicable state laws  
23 and rules.

24 (b) The applicant demonstrates to the department the  
25 capability to carry out the proposed project.

26 (c) The applicant demonstrates to the department that there is  
27 an identifiable source of funds for the future maintenance and  
28 operation of the activities funded with money from the fund, if  
29 appropriate.



1 (d) Within the last 24 months, the applicant has successfully  
2 undergone an audit conducted in accordance with generally accepted  
3 auditing standards or an emergency manager has been appointed for  
4 the applicant under the local financial stability and choice act,  
5 2012 PA 436, MCL 141.1541 to 141.1575.

6 (e) Within the last 24 months, the department has not revoked  
7 or terminated a grant to the applicant and the administering state  
8 department has not determined that the applicant demonstrated an  
9 inability to manage a grant.

10 **(4) Notwithstanding any other provision of this section, for**  
11 **grant or loan projects approved for funding under section**  
12 **19608(1)(a)(iv) on or after the effective date of the amendatory act**  
13 **that added this subsection, this section does not apply, and the**  
14 **department shall apply the criteria used for projects described in**  
15 **part 192.**

16 Sec. 19608b. (1) With respect to the grants and loans under  
17 section 19608(1)(a)(iv), all of the following conditions apply:

18 (a) An applicant must be a local unit of government.

19 (b) A recipient is not eligible to receive more than the  
20 following:

21 (i) Except as provided in subparagraphs (iii) and (iv), 1 grant  
22 per year, not to exceed \$1,000,000.00 per grant.

23 (ii) Except as provided in subparagraphs (iii) and (iv), 1 loan  
24 per year, not to exceed \$1,000,000.00 per loan.

25 (iii) Brownfield projects that have significant economic and  
26 environmental benefit may be considered for more than 1 grant or  
27 loan over consecutive years, provided that the loan or grant  
28 agreement includes project-specific benchmarks for eligible  
29 activities and failure to satisfy a benchmark would terminate the



1 project's eligibility for additional grant or loan funding, as  
2 applicable.

3 (iv) A local unit of government may be considered for and  
4 awarded more than 1 grant or loan in a single year relating to  
5 multiple unrelated brownfield projects if the projects are  
6 determined to have significant environmental or economic benefits  
7 to the recipient's municipality or region.

8 (c) Except for a grant described in section 19608a(2), the  
9 department may award a grant only if ~~it~~**the department** determines  
10 that both of the following apply:

11 (i) The property is an eligible property.

12 (ii) The proposed development of the property is expected to  
13 result in measurable economic benefit in excess of the grant amount  
14 requested by the applicant.

15 (d) The department may award a loan only if ~~it~~**the department**  
16 determines that both of the following apply:

17 (i) The property is known or suspected to be an eligible  
18 property.

19 (ii) The property has economic development potential based on  
20 the applicant's planned use of the property.

21 (e) The department may approve funding for response activities  
22 that are more protective of the public health, safety, and welfare  
23 and the environment than required by section 20107a or 21304c if  
24 those activities provide public health or environmental benefit. In  
25 its review of a work plan that includes activities that are more  
26 protective of the public health, safety, and welfare and the  
27 environment, the department may consider, but is not limited to,  
28 all of the following:

29 (i) Proposed new land use and reliability of restrictions to



1 prevent exposure to contamination.

2 (ii) Cost of implementation activities minimally necessary to  
3 satisfy due care requirements, the incremental cost of response  
4 activities relative to the cost of activities minimally necessary  
5 to satisfy due care requirements, and the total cost of all  
6 response activities.

7 (iii) Long-term obligations associated with leaving  
8 contamination in place and the value of reducing or eliminating  
9 these obligations.

10 (f) A grant or loan ~~shall~~**must** not be used to fund response  
11 activities that benefit a party that is responsible for an activity  
12 causing a release at the eligible property, except that a loan may  
13 be used to fund appropriate response activities related to  
14 redevelopment and due care activities necessary to facilitate  
15 redevelopment of the property if the party that is responsible for  
16 an activity causing a release at the eligible property meets all of  
17 the following:

18 (i) Is a local unit of government.

19 (ii) Has a proposed redevelopment for the property with  
20 measurable economic benefit.

21 (iii) Provides a minimum of 50% local matching funds for the  
22 project.

23 (g) A grant or loan may be used to fund due care activities  
24 necessary to facilitate redevelopment if the party responsible for  
25 an activity causing a release is not the developer of proposed  
26 redevelopment.

27 (h) A loan may be used to fund response activities if both of  
28 the following are met:

29 (i) A party responsible for an activity causing a release is



1 ~~neither~~**not** the seller ~~nor the~~**or** developer of the property to  
 2 receive funding.

3 (ii) The recipient can show that response activities are  
 4 appropriate in relation to the redevelopment.

5 (2) **Notwithstanding any other provision of this section, for**  
 6 **grant or loan projects approved for funding under section**  
 7 **19608(1) (a) (iv) on or after the effective date of the amendatory act**  
 8 **that added this subsection, subsection (1) does not apply, and the**  
 9 **department shall apply the criteria used for projects described in**  
 10 **part 192.**

11 Sec. 19609. (1) An application for a grant or a loan from the  
 12 fund ~~shall~~**must** be made on a form or in a format prescribed by the  
 13 administering state department. The administering state department  
 14 may require the applicant to provide any information reasonably  
 15 necessary to allow the administering state department to make a  
 16 determination required by this part.

17 (2) Of the funds to be used to provide grants and loans under  
 18 section 19608(1) (a) (iv), the following apply:

19 (a) The department shall accept, and consider for approval,  
 20 applications for grants and loans throughout the year.

21 (b) The department shall make final application decisions  
 22 ~~within~~**not later than** 90 days after receipt of a complete grant or  
 23 loan application.

24 (c) A complete application includes all of the following:

25 (i) A description of the proposed eligible activities and the  
 26 reasons ~~they~~**the activities** should be funded.

27 (ii) An itemized budget for the proposed eligible activities.

28 (iii) A schedule for the completion of the proposed eligible  
 29 activities.



(iv) The location of the property.

(v) The current ownership and ownership history of the property.

(vi) The relevant history of the use of the property.

(vii) The current use of the property.

(viii) The existing and proposed future zoning of the property.

(ix) If the property is not owned by the applicant, a draft of an enforceable agreement between the property owner and the applicant that commits the property owner to cooperate with the applicant, including a commitment to allow access to the property to complete, at a minimum, the proposed eligible activities.

(x) A description of the property's economic redevelopment potential.

(xi) For loans, a resolution from the governing body of the applicant committing to repayment of the loan.

(xii) A letter from the chief executive officer or highest ranking appointed official indicating that the local unit of government supports the brownfield project and that the brownfield project complies with all local zoning and planning ordinances.

(xiii) Any other relevant information the department requires.

**(3) Notwithstanding any other provision of this section, for grant or loan projects approved for funding under section 19608(1)(a)(iv) on or after the effective date of the amendatory act that added this subsection, this section does not apply, and the department shall apply the criteria used for projects described in part 192.**

Sec. 19610. (1) ~~Upon~~ **On** receipt of a grant or loan application, for funding provided under section 19608(1)(a)(iv), the department shall review the application based on the following



1 considerations:

2 (a) Whether the brownfield project proposed to be funded is  
3 authorized by this part.

4 (b) Whether the brownfield project is consistent with the  
5 local planning and zoning for the area in which the project is  
6 located.

7 (c) Whether the brownfield project provides measurable  
8 environmental benefit.

9 (d) Whether the brownfield project provides measurable  
10 economic benefit or will significantly contribute to the local unit  
11 of government's economic and community redevelopment or the  
12 revitalization of adjacent neighborhoods.

13 (e) The viability of the redevelopment plan.

14 (f) The level of public and private commitment and other  
15 resources available for the project.

16 (g) How the brownfield project relates to a broader economic  
17 and community development plan for the local unit of government as  
18 a whole.

19 (h) Other criteria that the department considers relevant.

20 (2) The department shall issue grants under section  
21 19608(1)(a)(iv) for brownfield projects that the department  
22 determines meet the requirements of this part and will contribute  
23 to the revitalization of underutilized properties.

24 **(3) Notwithstanding any other provision of this section, for**  
25 **grant or loan projects approved for funding under section**  
26 **19608(1)(a)(iv) on or after the effective date of the amendatory act**  
27 **that added this subsection, this section does not apply, and the**  
28 **department shall apply the criteria used for projects described in**  
29 **part 192.**



1       Sec. 19610a. **(1)** For the funds to be used to provide grants  
2 and loans under section 19608(1) (a) *(iv)*, all of the following apply:

3       (a) To receive grant or loan funds, approved applicants must  
4 enter into a grant or loan agreement with the department. At a  
5 minimum, the grant or loan agreement ~~shall~~**must** contain all of the  
6 following:

7       (i) The approved eligible activities to be undertaken with  
8 grant or loan funds.

9       (ii) An implementation schedule for the approved eligible  
10 activities.

11       (iii) Reporting requirements, including, at a minimum, the  
12 following:

13       (A) The grant or loan recipient shall submit progress status  
14 reports to the department during the implementation of the  
15 brownfield project that include documentation of project costs and  
16 expenditures, at a frequency determined by the department.

17       (B) The grant or loan recipient shall provide a final report  
18 ~~upon~~**on** completion of the grant- or loan-funded activities within a  
19 time frame determined by the department.

20       (iv) If the property is not owned by the grant or loan  
21 recipient, an executed agreement that meets the requirements of  
22 section 19609(2) (c) *(ix)*.

23       (v) When entering into a loan agreement, the loan recipient  
24 shall provide financial assurance of repayment of the loan  
25 including pledges of revenue sharing, escrow account, letter of  
26 credit, or other acceptable mechanism negotiated with the  
27 department. Use of real property as a means to secure a loan is not  
28 considered an acceptable mechanism. The department is authorized to  
29 include in the loan agreement a provision that permits the release



1 of the financial assurance in favor of a pledge of the right of  
 2 first refusal of the tax increment revenue to the department under  
 3 the brownfield redevelopment financing act, 1996 PA 381, MCL  
 4 125.2651 to ~~125.2672~~, **125.2670**, if the brownfield project has been  
 5 substantially completed and the annual tax increment being captured  
 6 relative to the brownfield project is equal to or greater than 125%  
 7 of the annual loan reimbursement payment.

8 (vi) Other provisions as considered appropriate by the  
 9 department.

10 (b) All eligible activities must be consistent with an  
 11 approved grant or loan work plan.

12 (c) Unless otherwise approved by the director of the  
 13 department, only activities carried out and costs incurred after  
 14 execution of a grant or loan agreement are eligible.

15 (d) Grant funds shall be disbursed on a reimbursement basis  
 16 upon receipt of appropriate documentation.

17 (e) Loan funds shall be disbursed in draws based on an  
 18 approved work plan, and supporting documentation must be submitted  
 19 after expenses are incurred.

20 (f) The department shall specify documentation requirements  
 21 for grants and loans on a form prescribed for requesting  
 22 reimbursement or draws.

23 **(2) Notwithstanding any other provision of this section, for**  
 24 **grant or loan projects approved for funding under section**  
 25 **19608(1) (a) (iv) on or after the effective date of the amendatory act**  
 26 **that added this subsection, subsection (1) does not apply, and the**  
 27 **department shall apply the criteria used for projects described in**  
 28 **part 192.**

29 Sec. 19611. (1) ~~Prior to~~ **Before** making a grant or loan with



1 money from the fund, the administering state department shall  
2 consider the extent to which the making of the grant or loan  
3 contributes to the achievement of a balanced distribution of grants  
4 and loans throughout the state.

5 (2) In determining whether a grant or a loan is appropriate  
6 under section 19608(1)(a)(iv), the department shall consider whether  
7 the project is likely to be undertaken without state assistance,  
8 the availability of state funds from other sources, the degree of  
9 private sector participation in the type of project under  
10 consideration, and other factors considered important by the  
11 department.

12 **(3) Notwithstanding any other provision of this section, for**  
13 **grant or loan projects approved for funding under section**  
14 **19608(1)(a)(iv) on or after the effective date of the amendatory act**  
15 **that added this subsection, this section does not apply, and the**  
16 **department shall apply the criteria used for projects described in**  
17 **part 192.**

18 Sec. 19612. (1) A recipient of a grant or a loan made with  
19 money from the fund shall do both of the following:

20 (a) Keep an accounting of the money spent on the project or  
21 facility in a generally accepted manner. The accounting is subject  
22 to a postaudit.

23 (b) Obtain authorization from the administering state  
24 department before implementing a change that significantly alters  
25 the proposed project.

26 (2) The administering state department may revoke a grant or a  
27 loan made with money from the fund or withhold payment if the  
28 recipient fails to comply with the terms and conditions of the  
29 grant or loan agreement or with the requirements of this part or



1 the rules promulgated under this part, or with other applicable law  
2 or rules. If a grant or loan is revoked, the administering state  
3 department may recover all funds awarded.

4 (3) The administering state department may withhold a grant or  
5 a loan until the administering state department determines that the  
6 recipient is able to proceed with the proposed project.

7 (4) To ~~assure~~**ensure** timely completion of a project, the  
8 administering state department may withhold 10% of the grant or  
9 loan amount until the project is complete.

10 (5) If an approved applicant fails to sign a grant or loan  
11 agreement within 90 days after receipt of a written grant or loan  
12 offer by the administering state department, the administering  
13 state department may cancel the grant or loan offer. The applicant  
14 may not appeal or contest a cancellation ~~pursuant to~~**under** this  
15 subsection.

16 (6) The administering state department may terminate a grant  
17 or loan agreement and require immediate repayment of the grant or  
18 loan if the recipient uses grant or loan funds for any purpose  
19 other than for the approved activities specified in the grant or  
20 loan agreement. The administering state department shall provide  
21 the recipient written notice of the termination 30 days ~~prior to~~  
22 **before** the termination.

23 (7) A loan made with money in the fund must be made on the  
24 following terms:

25 (a) A loan interest rate of not more than 50% of the prime  
26 rate as determined by the administering state department as of the  
27 date of approval of the loan.

28 (b) Loan recipients shall repay loans in equal annual  
29 installments of principal and interest beginning not later than 5



1 years after the first draw of the loan and concluding not later  
2 than 15 years after the first draw of the loan.

3 (c) A loan recipient shall enter into a loan agreement with  
4 the administering state department.

5 (d) ~~Upon~~**On** default of a loan, as determined by the  
6 administering state department, or ~~upon~~**on** the request of the loan  
7 recipient as a method to repay the loan, the department of treasury  
8 shall withhold from state payments payable to the loan recipient  
9 amounts consistent with the repayment schedule in the loan  
10 agreement until the loan is repaid. The department of treasury  
11 shall deposit the withheld or collected money into the fund until  
12 the loan is repaid.

13 (8) ~~Upon~~**On** request of a loan recipient and a showing of  
14 financial hardship related to the project that was financed in  
15 whole or in part by the loan, the administering state department  
16 may renegotiate the terms of any outstanding loan, including the  
17 length of the loan, the interest rate, and the repayment terms.  
18 However, the administering state department shall not reduce or  
19 eliminate the amount of the outstanding loan principal. The  
20 department shall report to the legislature the number of loans  
21 refinanced under this subsection, the local unit of government or  
22 authority responsible for each loan refinanced, and the change in  
23 the terms of the loan, as appropriate. This information may be  
24 included in the report prepared by the department under section 16  
25 of the brownfield redevelopment financing act, 1996 PA 381, MCL  
26 125.2666.

27 (9) Loan payments and interest ~~shall~~**must** be deposited in the  
28 fund.

29 **(10) Notwithstanding any other provision of this section, for**



1 grant or loan projects approved for funding under section  
 2 19608(1)(a)(iv) on or after the effective date of the amendatory act  
 3 that added this subsection, this section does not apply, and the  
 4 department shall apply the criteria used for projects described in  
 5 part 192.

6 Sec. 19613. (1) Of the funds to be used to provide grants and  
 7 loans under section 19608(1)(a)(iv), all of the following conditions  
 8 apply:

9 (a) A recipient of a grant shall receive not more than 1 grant  
 10 per year not to exceed \$1,000,000.00 per grant.

11 (b) A recipient of a loan shall receive a maximum of 1 loan  
 12 per year not to exceed \$1,000,000.00 per loan.

13 (c) A grant ~~shall~~**must** be awarded only if the department  
 14 determines that both of the following apply:

15 (i) The property is a facility as defined in section 20101.

16 (ii) The proposed development of the property will result in  
 17 measurable economic benefit in excess of the grant amount requested  
 18 by the applicant.

19 (d) A loan ~~shall~~**must** be awarded only if the department  
 20 determines that both of the following apply:

21 (i) The property is a facility as defined in section 20101 or  
 22 is suspected of being a facility.

23 (ii) The property has economic development potential based on  
 24 the applicant's planned use of the property.

25 (2) Notwithstanding any other provision of this section, for  
 26 grant or loan projects approved for funding under section  
 27 19608(1)(a)(iv) on or after the effective date of the amendatory act  
 28 that added this subsection, subsection (1) does not apply, and the  
 29 department shall apply the criteria used for projects described in



1 **part 192.**

2 Sec. 20108b. (1) The department shall create a revitalization  
3 revolving loan program for the purpose of making loans to certain  
4 local units of government to provide for eligible activities at  
5 certain properties in order to promote economic redevelopment.

6 (2) Loan funds from the revitalization revolving loan program  
7 created in subsection (1) ~~shall~~**must** be issued for the purposes  
8 provided in and utilizing the criteria provided in ~~sections 19608a~~  
9 ~~through 19613.~~**part 192.**

10 (3) ~~Loan~~**Except as otherwise provided in section 19217(3), the**  
11 payments and interest ~~shall~~**must** be deposited back into the  
12 revitalization revolving loan fund created in section 20108a.

13 Sec. 21506a. (1) The refined petroleum fund is created ~~within~~  
14 **in** the state treasury.

15 (2) The state treasurer may receive money or other assets from  
16 any source for deposit into the refined petroleum fund. The state  
17 treasurer shall direct the investment of the refined petroleum fund  
18 ~~. The state treasurer shall~~**and** credit to the refined petroleum  
19 fund interest and earnings from refined petroleum fund investments.

20 (3) Money in the refined petroleum fund at the close of the  
21 fiscal year remains in the refined petroleum fund and does not  
22 lapse to the general fund.

23 (4) Money from the refined petroleum fund ~~shall~~**must** be  
24 expended, ~~upon~~**on** appropriation, only for 1 or more of the  
25 following purposes:

26 (a) Corrective actions performed by the department ~~pursuant to~~  
27 **under** section 21320.

28 (b) The legacy release program created in section 21519a.

29 (c) The reasonable costs of the department in administering



1 the refined petroleum fund and implementing part 213.

2 (d) Not more than \$5,000,000.00 annually for petroleum product  
3 inspection programs under both of the following:

4 (i) The weights and measures act, 1964 PA 283, MCL 290.601 to  
5 290.635.

6 (ii) The motor fuels quality act, 1984 PA 44, MCL 290.641 to  
7 290.650d.

8 (e) Not more than \$3,000,000.00 annually for the bureau of  
9 fire services and office of the state fire marshal, storage tank  
10 division, in the department of licensing and regulatory affairs.

11 (f) Reimbursement by the authority to local units of  
12 government and county road commissions for the costs of corrective  
13 action to manage, relocate, or dispose of any media contaminated by  
14 regulated substances left in place within a public highway ~~pursuant~~  
15 ~~to~~**under** section 21310a if all of the following occur:

16 (i) The local unit of government or county road commission has  
17 submitted to the authority a claim for reimbursement on a form  
18 created by the authority.

19 (ii) The claim for reimbursement is for reasonable and  
20 necessary eligible corrective action costs determined by the  
21 administrator ~~pursuant to~~**under** section 21515(2) to (10).

22 (iii) The amount of reimbursement is not more than \$200,000.00  
23 per claim.

24 (g) Not more than \$5,000,000.00 annually for the department to  
25 provide grants and loans in accordance with part ~~196~~**192** to  
26 facilitate brownfield redevelopment at part 213 properties. Money  
27 ~~shall~~**must** not be provided under this subsection to fund the  
28 performance of response activities at a part 213 property to  
29 address contamination that is solely attributable to a release



1 regulated under part 201.

2 (h) The permanent closure of an underground storage tank  
3 system by the department if the underground storage tank system  
4 meets the conditions that require permanent closure under R 29.2153  
5 of the Michigan Administrative Code or the department determines it  
6 is necessary to protect public health, safety, welfare, or the  
7 environment.

